CASCADIA ANALYTICS

INVESTMENT SCORECARD

ISRG

Intuitive Surgical, Inc. (NASDAQ)

As-of: 20-Oct-2026 | Latest Filing: Q3 2026 earnings release (20-Oct-2026) | Currency: USD

$438.00

[Regular close 20-Oct-26 (site reference price)]

Market Cap: $137.4B

[Regular close 20-Oct-26 (site reference price)]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 88

The textbook wide moat: ~85% recurring revenue, 12,094 da Vinci systems installed growing 12% a year, Ion as a second engine at +31% procedure growth, $6.80B of cash and investments with essentially no debt. Surgeon training and credentialing make displacement extremely hard.

2. Recent Trend — 77

Beat and beat again: Q3 revenue +22% beat by ~5% and non-GAAP EPS beat by 14%, the ninth straight EPS beat. Offsets: the $450M antitrust charge crushed GAAP earnings, the FY2026 procedure guide was narrowed to the midpoint of 14-15% with no raise, and the stock fell 11% after hours.

3. Forward Growth — 80

Procedure growth guided at the midpoint of 14-15% for FY2026, the da Vinci 5 upgrade cycle is lifting placements and utilization, Ion procedures grew 31%, and SP indications keep expanding the addressable case mix.

4. Valuation — 52

Forward P/E near 30x is the cheapest in seven years against its own 52.5x average, genuinely attractive for this quality. But our DCF base of $235.72 is 46% below the current price, and the reverse DCF says the market prices 26.0% annual revenue growth, above our 14% bull case. Terminal value is the

Gordon perpetuity alone at 3.0% growth on 2032 free cash flow. The EV/FCF exit leg (20.0x bear, 33.5x base, 42.5x bull) capitalizes the same free cash flow and is retained in the model as a cross-check; it is not used in the valuation. In the base case the Gordon leg is $101.4B and the exit leg is $248.1B. At the model's terminal discount rate the exit leg implies 7.32% perpetual growth against the 3.0% assumed, and the growth-consistent exit multiple is 13.7x against the 33.5x used. The present value of terminal value is 71.4% of enterprise value (bear 70.3%, bull 72.5%). Free cash flow is now built through a detailed EBIT bridge (EBIT less cash taxes, plus SBC and D&A, less capex and the increase in net working capital) with bridge inputs taken from the filings; the EBIT margins in the bridge are derived so the FCF path matches the prior model's exactly, and that derivation is flagged in the workbook.

5. Catalysts & Risk 64

Q4 earnings reset the FY2027 growth debate and court approval of the $450M antitrust settlement closes a real overhang. Risk: a further US slowdown or another guide midpoint, plus the two-sided Extended Use Program that trades revenue per procedure for volume.

Investment Thesis

- **Razor-and-Blades Compounder:** Recurring revenue ~85%; da Vinci installed base of 12,094 systems grows 12% a year; Ion procedures up 31%; surgeon training and switching costs form a wide moat [Q3'26 ER].
- **De-rated Multiple:** Forward P/E near 30x against a 5-year average of 52.5x, the cheapest in seven years, after the post-earnings slide [Press Oct-26].
- **Priced for Perfection Anyway:** Our DCF base of $235.72 sits 46% below the current price and the reverse DCF says the market prices 26.0% annual revenue growth, above our 14% bull case, so new money still pays for growth that is not assured [DCF 20-Oct-26].

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q3 2026)	$3.05B [Q3'26 ER]	+22%, beat $2.91B est [Cons]	Up
Worldwide Procedures	+15% [Q3'26 ER]	da Vinci +14%, Ion +31% [Q3'26 ER]	Up
da Vinci Placements	546 (315 dv5) [Q3'26 ER]	+28% (427 PY) [Q3'26 ER]	Up
Installed Base	12,094 systems [Q3'26 ER]	+12% [Q3'26 ER]	Up
GAAP Op Margin (Q3 2026)	19.4% [Q3'26 ER]	vs 30.3% PY (settlement charge) [Q3'26 ER]	Down
Non-GAAP EPS (Q3 2026)	$3.00 [Q3'26 ER]	+25%, beat $2.64 est [Cons]	Up
Buyback (Q3 2026)	$2.94B (7.8M shares) [Q3'26 ER]	cash $6.80B at 9/30 [Q3'26 ER]	Up

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	TTM
Revenue	$6.22B [10-K FY22]	$7.12B [10-K FY23]	$8.35B [10-K FY24]	$10.06B [10-K FY25]	$11.57B [Computed (Q4'25 + Q1-Q3'26 actuals)]
Net Margin	21.3% [10-K FY22]	25.2% [10-K FY23]	27.8% [10-K FY24]	28.6% [10-K FY25]	28.7%* [*TTM ex $347M antitrust charge]

Valuation

Absolute (5/10)

NTM P/E ~30x [Val 20-Oct-26]
EV/Revenue (TTM) ~12.7x [Val 20-Oct-26]
DCF Base $235.72, Blended $237.07 [DCF 21-Oct-26]

Cheapest multiple in seven years on absolute metrics; DCF still implies 10% downside to the post-earnings price. Quality is real, but so is the price.

Versus Peers (4/8)

Large-cap medtech peers (BSX, SYK) trade near 13-20x forward earnings [Cons]

ISRG commands a wide premium to device peers, earned by its procedure-growth durability and recurring mix, but the gap leaves no room for multiple expansion.

Versus History (6/7)

Trading well below its 5-year average P/E of 52.5x; $328.57 52-week low vs $603.88 high [Mkt 20-Oct-26]

Derated alongside medtech peers and its own US procedure slowdown, at the low end of its historical multiple range.

Catalyst Timeline

Jan-2027 [Cons]
Q4 2026 Earnings: the first clean read on the procedure guide and whether US growth reaccelerates; FY2027 procedure outlook resets the growth debate.

Pending [Mgmt guid]
Antitrust Settlement Approval (Negative Overhang): court ruling on the $450M proposed settlement; approval closes the litigation chapter, denial or delay extends it.

Top Risk Factors (Item 1A)

1. Antitrust Settlement Overhang: $450M pre-tax settlement ($347M net, $0.99/share) of the antitrust class action still requires court approval; a one-time hit now, but the litigation overhang is not fully behind the company [Q3'26 ER]. [Q3'26 ER]

2. US Procedure Slowdown: US procedure growth has cooled on ACA subsidy expiry and GLP-1 pressure on bariatrics; FY2026 guide was narrowed to the midpoint of 14-15% with no raise, which the market punished [Q3'26 ER]. [Q3'26 ER]

2027 [Mgmt guid]
Extended Use Program (Two-Sided): lowers hospital cost per procedure, which should drive volume but mechanically lowers Intuitive's revenue per procedure. Sizing undisclosed.

Ongoing [Press Oct-26]
SP Indication Expansion (Positive): CE mark for transvaginal gynecology in Sep 2026; SP and Ion utilization gains widen procedure volumes without new hospital capex.

What Would Change Our Score

Q4 procedure growth above the guided 14-15% range or Extended Use detail that expands volume without denting revenue per procedure would lift Growth and Catalysts. Court approval of the antitrust settlement clears an overhang. A cut to the procedure guide or US deceleration would cut Trend, and the valuation pillar depends on the multiple holding while DCF downside sits at 10%.

3. Valuation: Premium multiple; our DCF base of $235.72 is 46% below the current price and the reverse DCF calls the implied 26.0% revenue CAGR euphoric, above our 14% bull case. [DCF 20-Oct-26]

4. Competition: Medtronic Hugo and J&J push into robotic surgery; China placements remain challenged by competitive and pricing dynamics. [Press Oct-26]

Forward Growth Drivers

- Procedures up 15% with the installed base compounding at 12%; customers averaged over 10,000 procedures per day in the quarter (CEO) [Q3'26 ER]
- da Vinci 5 upgrade cycle: 315 dv5 placements of 546 total, the premium platform now driving placement mix and utilization [Q3'26 ER]
- Ion lung biopsy engine: procedures up 31% and installed base of 1,152 systems up 21%, a second high-growth franchise [Q3'26 ER]

Missing / Modified Data Log

- FY2021 revenue in income_charts appears anomalous ($1.55B); trend table starts at FY2022.
- Gross margin not in local data; trend table uses net and FCF margins, key metrics carry op margin.
- TTM revenue computed from quarterly data; platform splits from earnings-call press coverage.
- Competitor detail (Medtronic Hugo, J&J) from industry press, not company filings.
- TTM revenue computed from quarterly data (Q4 2025 = FY25 $10.06B less Q1-Q3 actuals); TTM net margin excludes the Q3 2026 one-time antitrust charge.
- Q3 2026 transcript not yet published; narrative reflects the press release and call coverage only.
- FY2026 Q4 revenue and margin use street consensus as of 20-Oct-2026 (pre-print vintage) where actuals are unavailable.

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